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Regan Conaghan
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Dear Regan,

RE: PROPOSAL FOR SUPPLY AND SUPPORT OF BUNK SCANNER

Thank you again for the invitation to be involved with your exciting business. In response, we are very pleased to offer the following proposal for the supply and support of a Bunk Scanner for Barmount Station Feedlot.

Manabotix provides responsible, appropriate, and effective engineering services and systems. We are independent, based locally, and focused on providing productivity, safety, and asset management solutions by trusted, skilled, cost-competitive, focussed, and high-performing professionals. Key personnel also maintain appropriate RPEQ and Functional Safety Engineering qualifications.

Regan, we hope this proposal meets your requirements and expectations, and we are open to discuss any aspect with you.

Kind regards

Dr Stuart G. McCarthy
Managing Director

Proposal for Barmount Station Feedlot Bunk Scanner

1. Introduction

The following proposal is in response to a verbal enquiry from **Regan Conaghan – Operations Manager** (R. Conaghan, pers. comm., 21 October 2024) – for a Barmount Station Feedlot (herein Barmount) Bunk Scanner. Barmount is located approximately 110km northwest of Marlborough in Central Queensland, Australia, and currently has a one-time capacity of nearly 10,000 cattle on feed.

Like most agricultural sectors, Australian feedlots such as Barmount are currently experiencing **very difficult economic conditions**. These probably include high operating costs caused by commodity market conditions, compounding traditional profitability pressures, and skilled labour shortages.

Bunk Scanners are now supporting the feeding processes of seven Australian feedlots (soon to be eight), representing **nearly 20% of the national cattle on feed**. Bunk Scanners are now assisting four out of Australia's five largest lot feeders (based on one-time capacity), with multiple units operating across three of these lot feeders' sites. The objective return on investment for Bunk Scanner is very difficult to derive (especially on carcase), though based on our published experimental validation results[1] we do suggest that its employment will provide **very accurate and precise feed remaining predictions**, certainly more so than human predictions: these factors ought to **improve feed utilisation with significantly less wastage**.

Certainly, opportunities ought to present for feedlots employing a Bunk Scanner, and through operational experience we have an increasing familiarity with **diverse use cases with a range of integration and output reporting options**. For example, while the proposed Bunk Scanner still requires a human operator for the host light vehicle, this may be a lesser-skilled labour resource while more skilled (bunk calling) personnel can attend to other business priorities sooner than otherwise, or even enabling unskilled (or autonomous!) overnight slick times to be predicted. Similarly, reductions in feed wastage, as well as longer-term welfare or productivity improvements for livestock are very likely, and the latest bunk management experiment results are expected soon. We do strongly suggest that any **additional margin that may be achieved via changes in practices** or adoption of new technologies, specifically those that are demonstrably superior to human performances, **ought to be considered very exciting and potentially valuable improvements**, with derivative benefits for all stakeholders.

We should also mention that the proposed Bunk Scanner will be compatible with our unmanned ground vehicle platform – **BunkBot** – if Barmount wishes to consider autonomising its bunk reading at a future time. Similarly, our new **Bunk Runner** platform will be suitable for use with the proposed Bunk Scanner, with the vehicular platform available in standard side-by-side (SxS) mode for manual operation, alternatively upgraded to operate as an automated guided vehicle (AGV).

Against this brief introduction we **propose to supply and support a Bunk Scanner for Barmount**. We hope through acceptance of this proposal that we may continue to develop a long-term and meaningful professional relationship.

[1] McCarthy, S.G., Mcleod, D.N., and McMeniman, J. (2018). B.FLT.7009 - Feedlot adoption - Bunk Scanner field trials final report [online] Available at: https://www.mla.com.au/research-and-development/search-rd-reports/final-report-details/Feedlot-adoption-Bunk-Scanner-Field-Trials/3835 [Accessed 6 October 2019].

2. Scope of supply

The proposed system will have the following scope of supply.

a. Inclusions

Our offer includes the scope as described in Table 1 and Table 2, presented as different business model options.

Table 1: Capital plus operating expenditure proposal for Bunk Scanner.

<table>
<tr><th>ID</th><th>Description</th><th>Total (ex. GST)</th></tr>
<tr><td>1</td><td>Bunk Scanner supply including RTK GNSS base station.

Supply of one Bunk Scanner for installation on client site light vehicle. This Bunk Scanner will be our new generation AutoSlide (self-extending and parking) arrangement, complete with equipment for satellite-based positioning, bunk (and feed) perception lidar, communications, in-cabin HMI, and algorithms specific to the client site for calculating and reporting feed remaining predictions. HMI will present feed remaining prediction to light vehicle operator at end of each commissioned pen.

Assembly, factory testing, and delivery of system to Barmount. Site installation and commissioning, including establishing communications, georeferencing all pens, baselining all bunks, integration, and site acceptance testing. Training and handover will also be provided.</td><td>$ 78,000</td></tr>
<tr><td>2</td><td>Service agreement, support for Bunk Scanner.

<u>Bunk Scanner supply can only be completed with acceptance of a service agreement, as this enables Manabotix to provide ongoing support for the system.</u>

Ongoing support of Bunk Scanner as per following table.
<table>
<tr><th>Description</th><th>Performance target</th></tr>
<tr><td>Help desk support</td><td>Included</td></tr>
<tr><td>Call-out fee</td><td>Included</td></tr>
<tr><td>Preventative maintenance visits (max per year)</td><td>4</td></tr>
<tr><td>Included service days (max per month)</td><td>2</td></tr>
<tr><td>On-site response time (hours)</td><td>72</td></tr>
<tr><td>Firmware upgrades</td><td>Included</td></tr>
<tr><td>Designated support technician</td><td>Included</td></tr>
</table>
We propose that the service agreement will be valid from completion of site commissioning and will be valid while Barmount uses the Bunk Scanner. The agreement will be reviewed at a minimum once per year; however, in lieu of a review during any period specified, the current agreement will remain in effect.

We require the client to remain current with monthly invoice payments under the service agreement. We also require reasonable availability of a site-based system champion to provide first-respondent assistance resolving service-related incidents or requests.</td><td>$ 2,500/month[2]</td></tr>
</table>

[2] Service agreement cost subject to possible consolidation with other Manabotix solutions at Barmount.

ID	Description	Total (ex. GST)
3	**OPTION 1:** Critical spares package to be kept on site.	Price on request.

All costs are exclusive of GST.

Table 2: Hire purchase (operating expenditure only) proposals for Bunk Scanner.

ID	Description	Total (ex. GST)

1	**Hire purchase OPTION 1: 24 months.**
	Supply of Bunk Scanner and service agreement as scoped in Table 1, IDs 1 and 2.
	The following conditions will also apply,
	• Bunk Scanner system will be property of Barmount at the end of the agreed hire purchase period.
	• If Barmount wishes to cancel agreement (including 'cooling off' period), the Bunk Scanner will be recovered and owned by Manabotix, and exit fees will be applied as follows,
	  ○ Months 0 to 6, value of first 8mo payments
	  ○ Months 7 to 12, value of first 14mo payments
	  ○ Months 13 to 18, value of first 20mo payments
	  ○ Months 19 to 24, no additional exit fees
	• Manabotix reserves the right to discontinue provisioned system and services – only for valid reasons – and in consultation with Barmount.
	Note, cost for equivalent duration per Table 1 proposal is $ 138,000.
		No deposit required
		$ 5,500/month for 24mos
		+ $19,125 residual payment in month 24
		= $ 151,125 paid in first 24mos
		The $ 2,500/month fee will be charged to continue service agreement for months 25+

2	**Hire purchase OPTION 2: 36 months.**
	Supply of Bunk Scanner and service agreement as scoped in Table 1, IDs 1 and 2.
	The following conditions will also apply,
	• Bunk Scanner system will be property of Barmount at the end of the agreed hire purchase period.
	• If Barmount wishes to cancel agreement (including 'cooling off' period), the Bunk Scanner will be recovered and owned by Manabotix, and exit fees will be applied as follows,
	  ○ Months 0 to 6, value of first 9mo payments
	  ○ Months 7 to 12, value of first 15mo payments
	  ○ Months 13 to 18, value of first 21mo payments
	  ○ Months 19 to 36, no additional exit fees
	• Manabotix reserves the right to discontinue provisioned system and services – only for valid reasons – and in consultation with Barmount.
	Note, cost for equivalent duration per Table 1 proposal is $ 168,000.
		No deposit required
		$ 5,000/month for 36mos
		+ $ 7,650 residual payment in month 36
		= $ 187,650 paid in first 36mos
		The $ 2,500/month fee will be charged to continue service agreement for months 37+

3	**OPTION 1:** Critical spares package to be kept on site.	Price on request.

All costs are exclusive of GST.

b. Exclusions and requirements from others

We will require the following from the client site,

1. Limited support for installation activities. Scope to be determined during preliminary site walk.
2. Appropriate availability of host light vehicle/s for installation and commissioning activities. This ought to be achievable around normal feeding operations.
3. Access to appropriate installation location for RTK GNSS base station. This is usually central and includes access to services such as power and network (if required).
4. Provision of custom protective cage around Bunk Scanner/s: Manabotix can provide examples, engineered drawings, and guidance as appropriate. Similarly possible reinforcement of light vehicle tray/s to improve stiffness of Bunk Scanner's connection.
5. Appropriate engagement from client site representative/s for training and system usage.
6. Integrations with 3rd party applications (e.g., Elynx Feedbunk, Genius, Livestock Junction) – as well as custom reports – will be considered within the scope of the service agreement only.

3. Commercial terms

a. Validity

All costs within this proposal will remain valid until 30 November 2024. After this date, we must revise our costs, especially as most bought-in equipment quotations also have limited validity periods.

b. Schedule

We propose the schedule described in Table 3 for the supply of the deliverables.

Table 3: Proposed delivery schedule.

ID	Description	Target date
1	Purchase Order received	-
2	System/s despatched to site	ID1 + 8 weeks; TBC at time of order
3	Commencement of service agreement	Completion of site commissioning

Manabotix will be prudent to at least achieve the agreed delivery schedule, though will not be responsible for any delays outside of our control, including seasonal shutdowns.

c. Cash flow

We propose the cash flows described in Table 4 and Table 5 for the supply of the deliverables.

Table 4: Proposed cash flows for Table 1 capital plus operating expenditure model.

ID	Description	%	Value (ex. GST)
1	Purchase Order received	50	$ 39,000
2	System/s despatched to site	50	$ 39,000
3	Service agreement	100	$ 2,500/month[3]

All costs are exclusive of GST.

[3] Service agreement cost subject to possible consolidation with other Manabotix solutions at Barmount.

Table 5: Proposed cash flows for Table 2 hire purchase models.

ID	Description	Value (ex. GST)
24-month term		
1	System commissioned, invoiced on last business day of each month	$ 5,500/month[3]
2	Month 24, normal monthly fee plus 25% residual payment	$ 24,625
3	Service agreement continuation, months 25+	$ 2,500/month[3]
36-month term		
1	System commissioned, invoiced on last business day of each month	$ 5,000/month[3]
2	Month 36, normal monthly fee plus 10% residual payment	$ 12,650
3	Service agreement continuation, months 37+	$ 2,500/month[3]

All costs are exclusive of GST.

Early exit fees for hire purchase models will be applied in a final invoice at end of separation month.

d. Responsibility boundaries

Based on our current understanding of requirements, the responsibility boundaries for the supplied system will be Bunk Scanner mechanical and electrical interfaces.

e. Warranty

Warranties for equipment we have supplied will be 12 months from commissioning whenever the failures are considered fair, reasonable, or foreseeable. Wilful or careless damage to the Bunk Scanner or its performances will not be warranted.

As Bunk Scanner is a leading-edge technology solution that will be customised for the client site, we cannot guarantee system software performances under all operating conditions, all the time. It follows that software enhancements and refinements in response to client feedback and operational experience will not be considered warranty items, and instead will be managed under the service agreement.

f. Indemnities

In no event shall Manabotix's aggregate liability exceed the amounts actually paid by Barmount in the 12-month period immediately preceding the event giving rise to the claim.

Manabotix will maintain appropriate insurance policies throughout the contract duration.

No allowance has been made in this proposal for liquidated damages or consequential losses.

g. Confidentiality

All proposals will be held as strictly confidential within the company it was offered.

Pricing will be rejected if a third party or agent places an order for above pricing without express written permission from Manabotix.

h. Intellectual property

The solution offered in this proposal was developed in collaboration with Meat & Livestock Australia Limited. As the exclusive licensee, Manabotix has permission and support from MLA to propose Bunk Scanner with the terms outlined in this document.